

March 2025

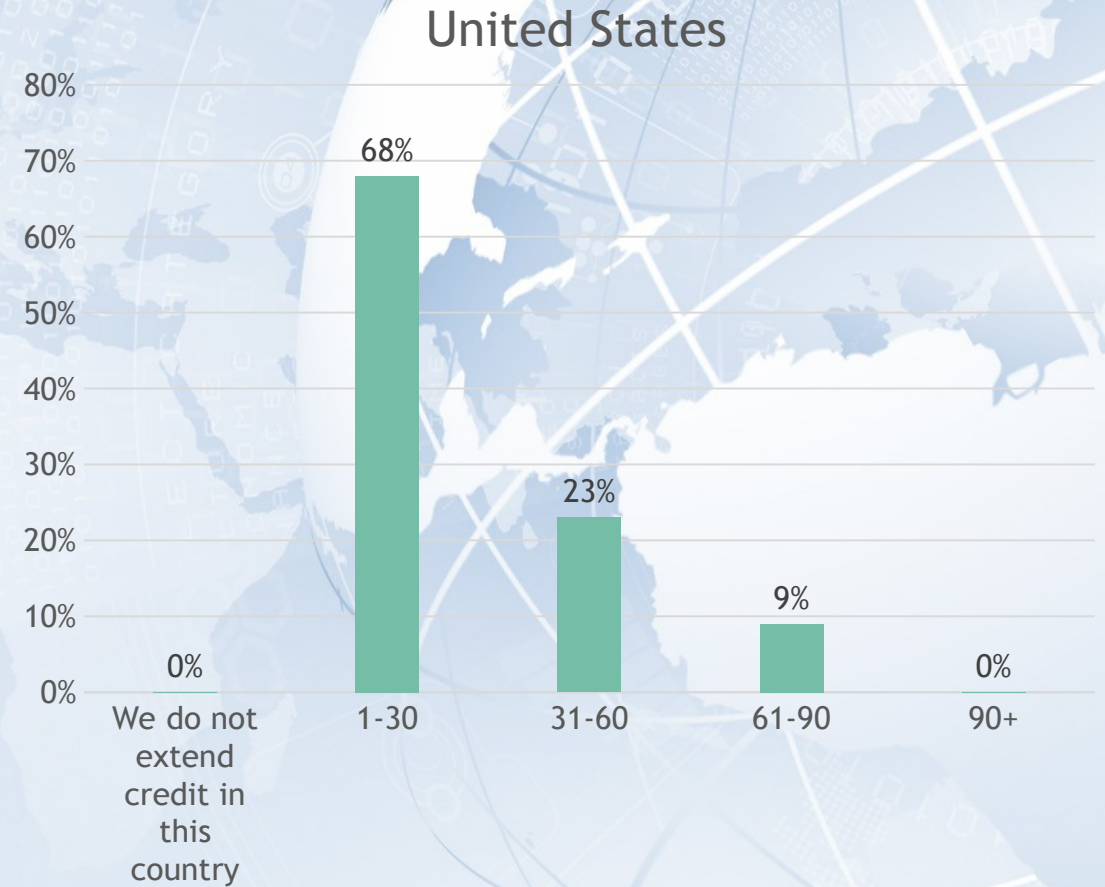
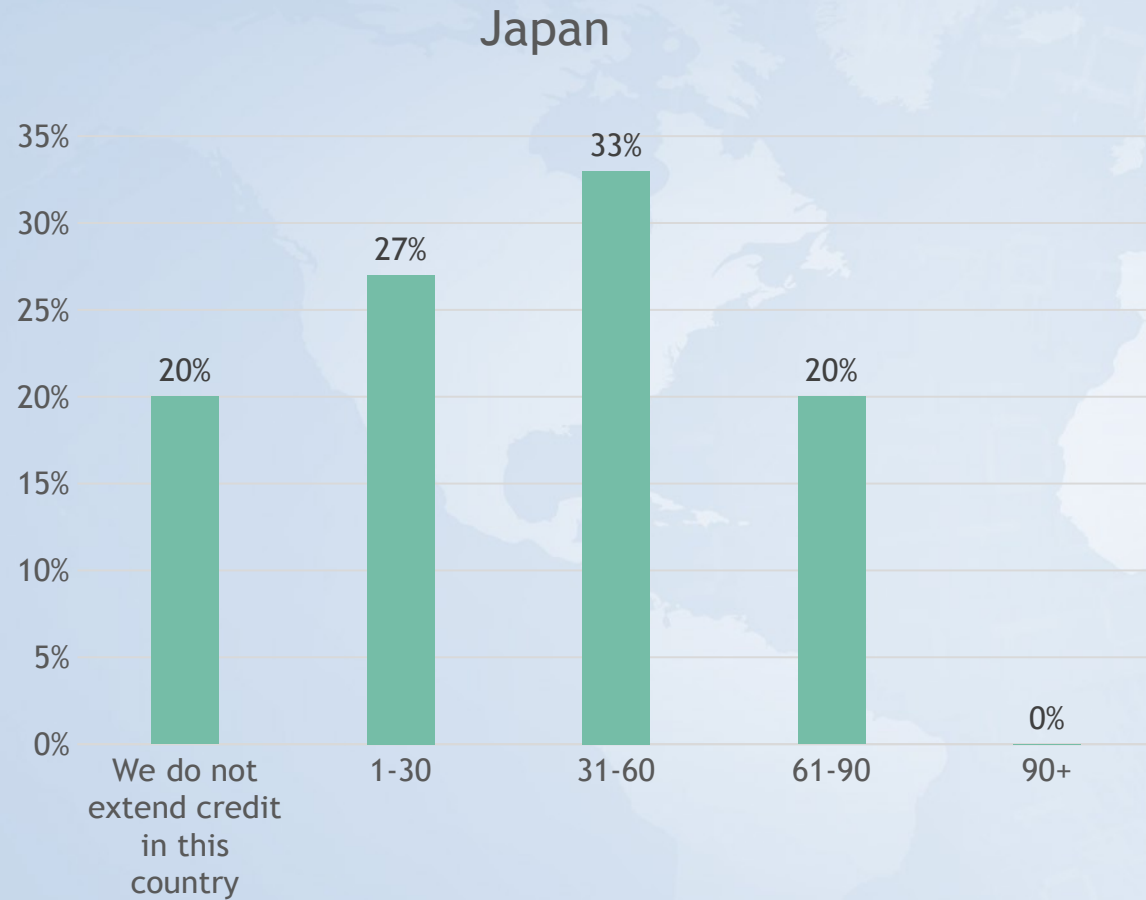
FCIB Credit & Collections Survey

Japan, United States, South Korea, Colombia

Are your sales primarily to **new** or **existing** customers?

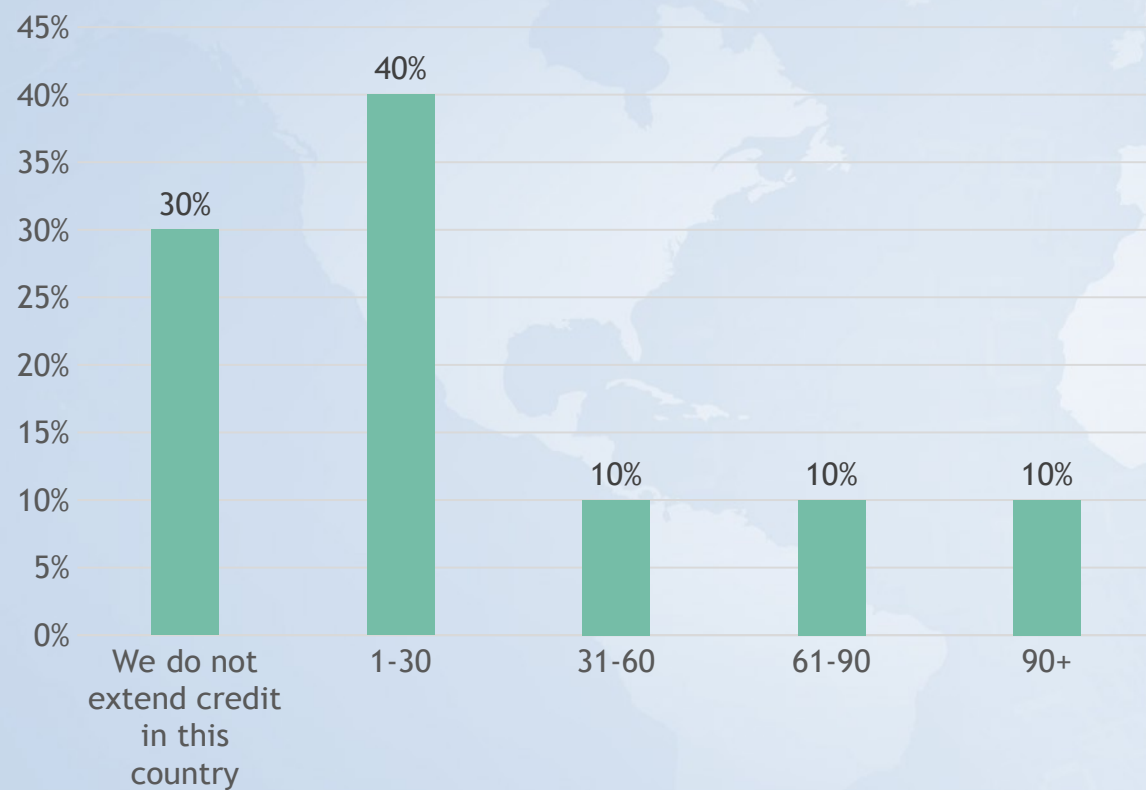


On average, what payment terms are you granting?

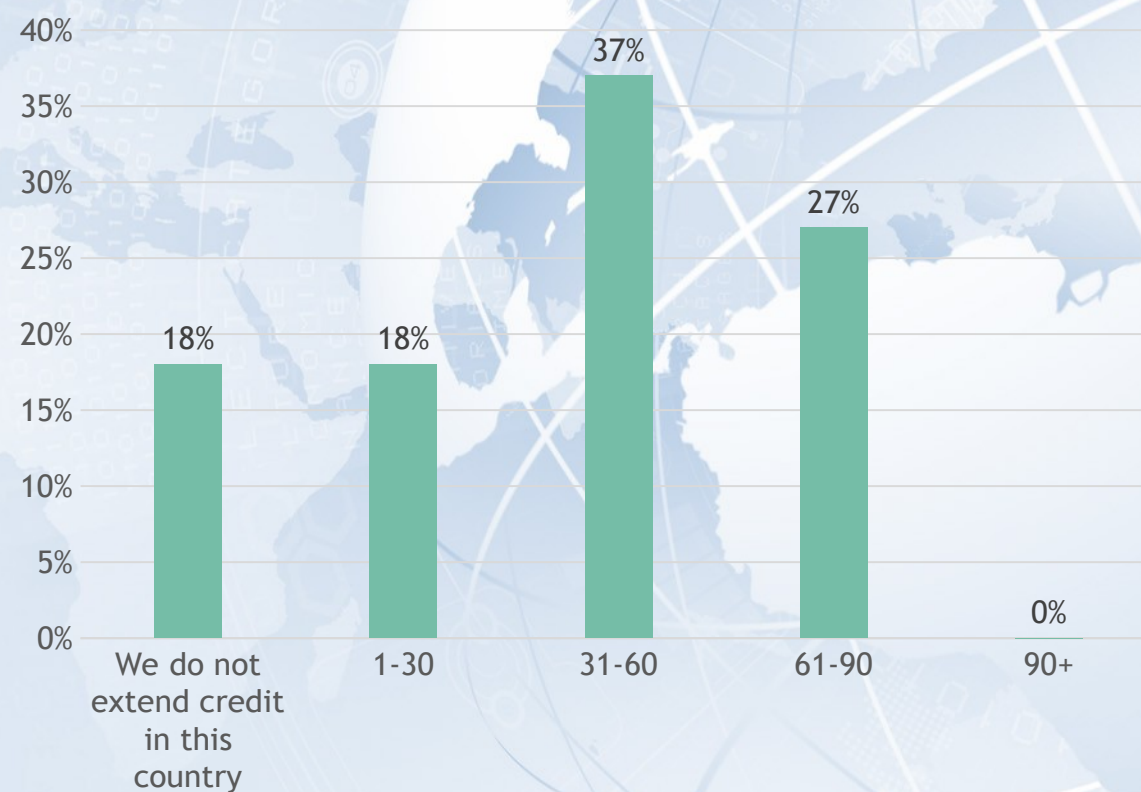


On average, what payment terms are you granting?

South Korea



Colombia



What is the average number of days beyond terms in these countries?

Japan

6

United States

16

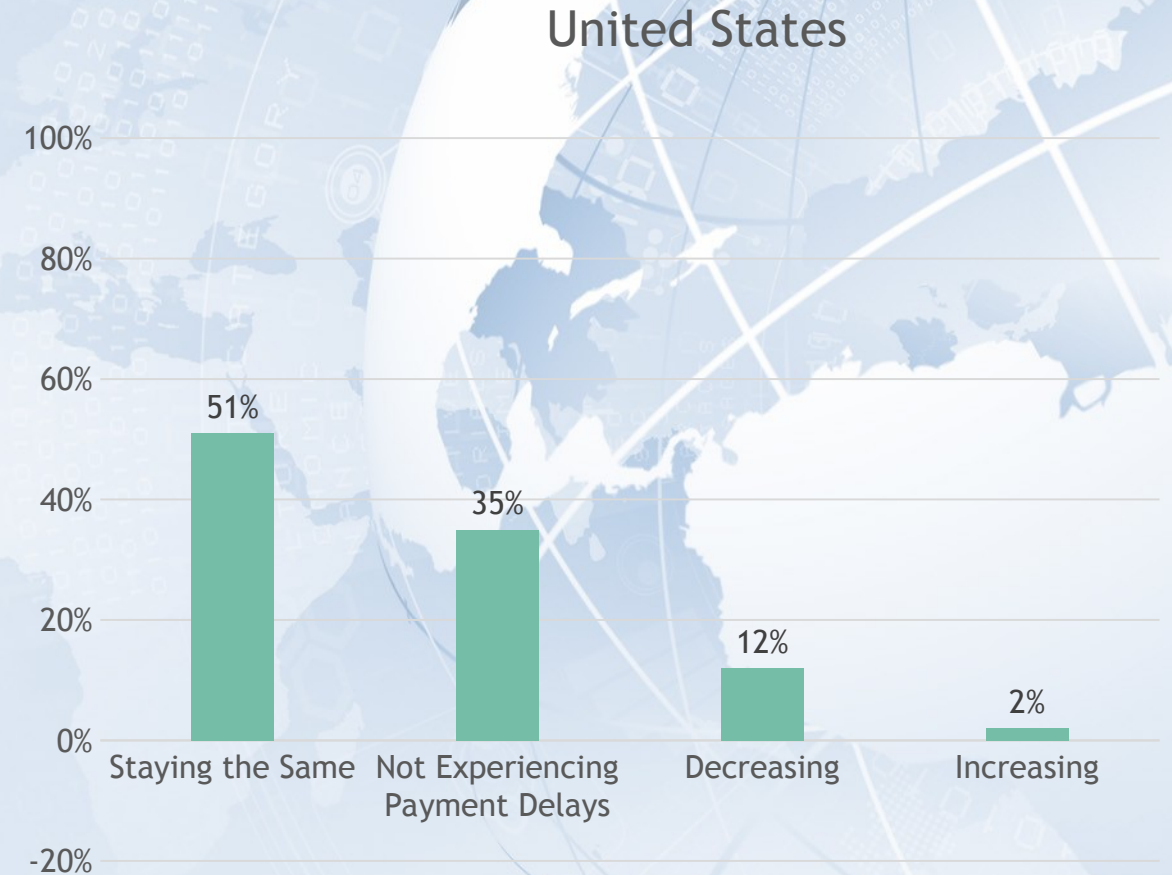
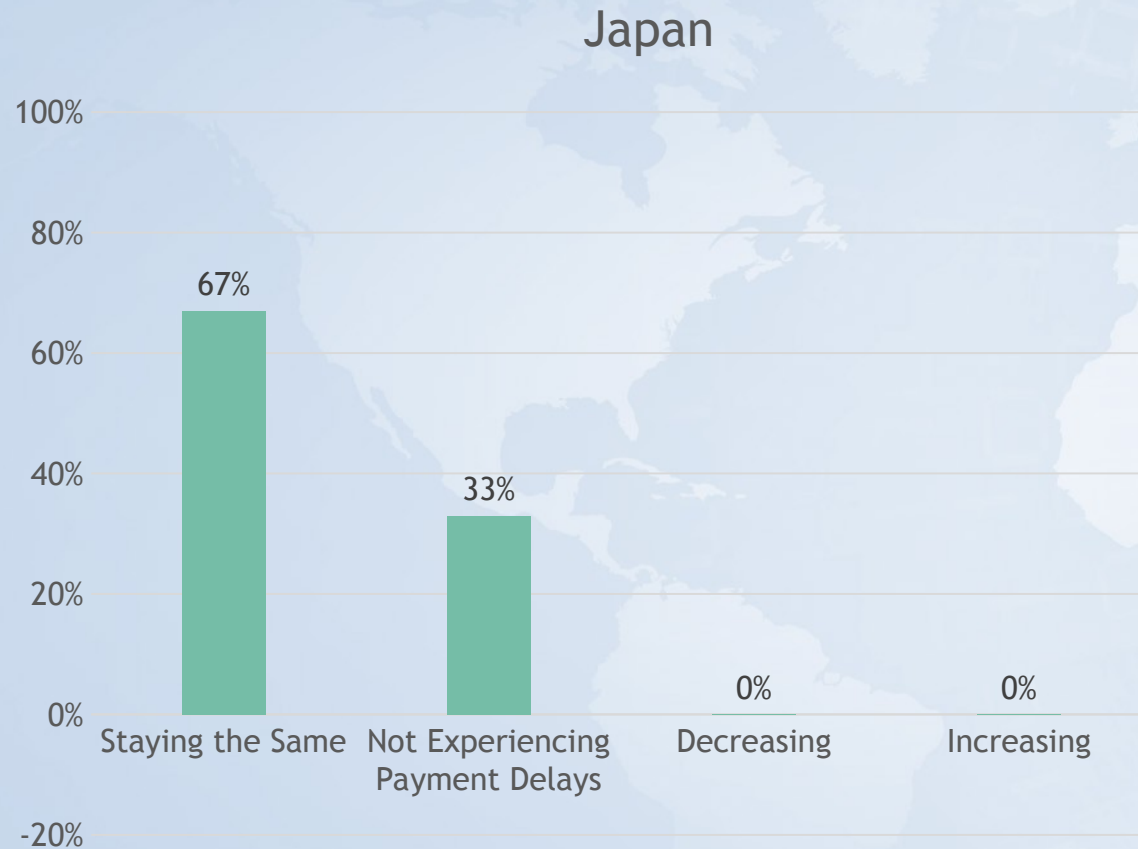
South Korea

43

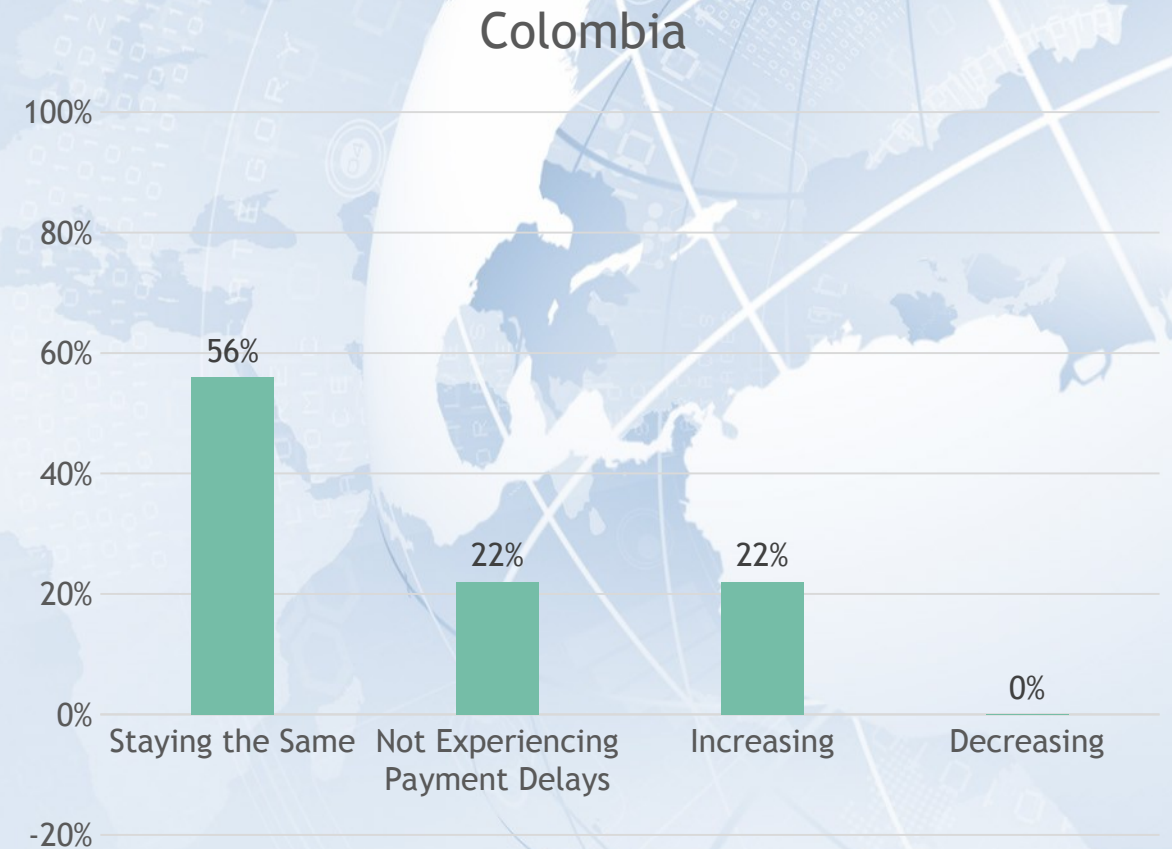
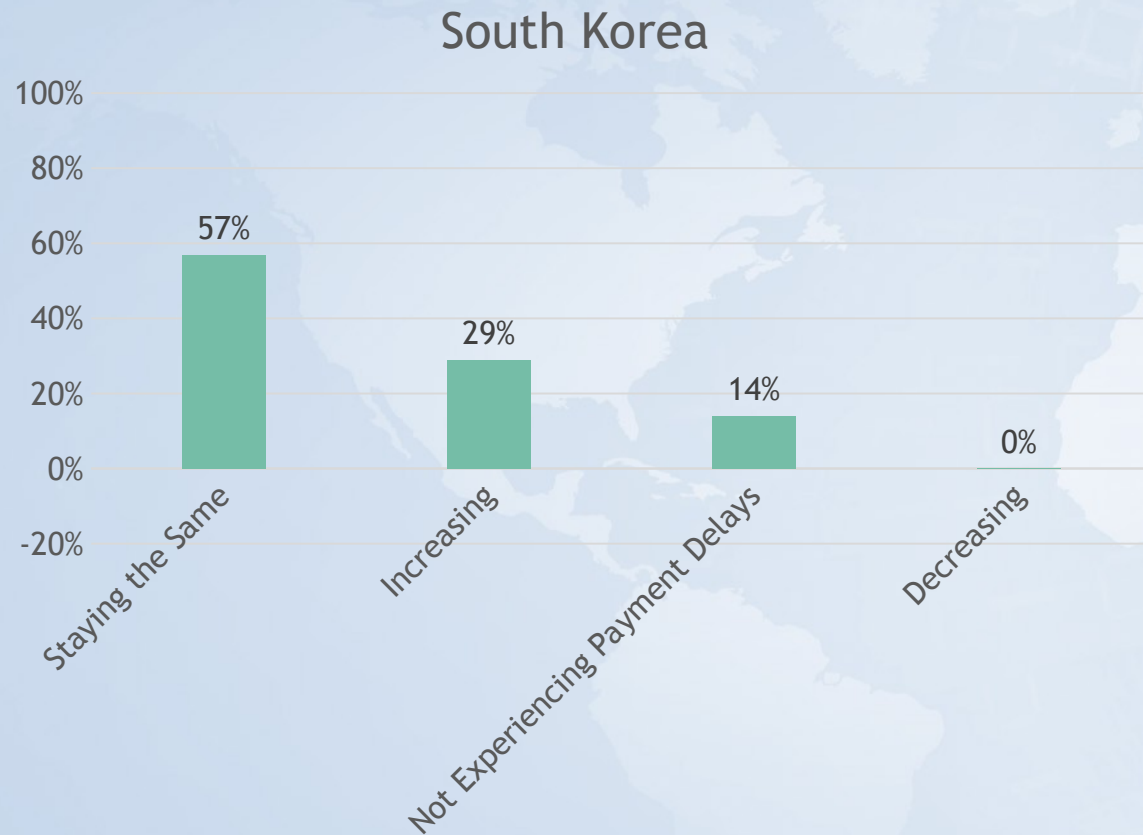
Colombia

8

Are payment delays increasing, decreasing, or staying the same?

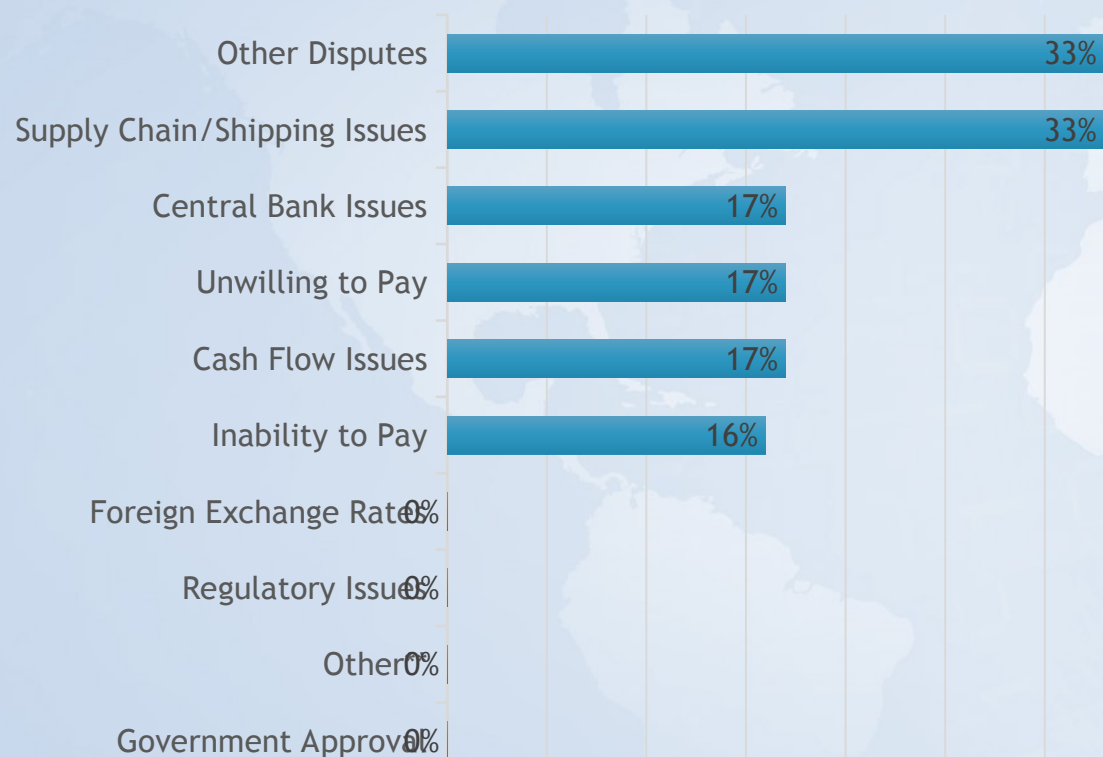


Are payment delays increasing, decreasing, or staying the same?

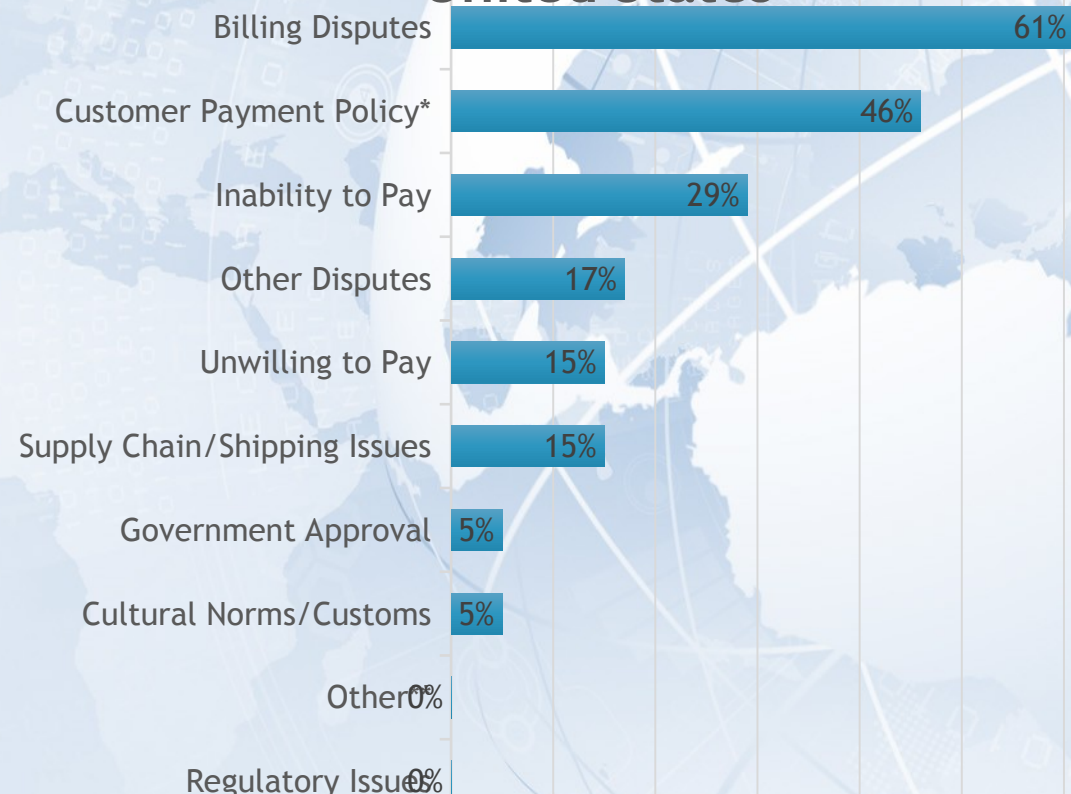


The most common causes of payment delays

Japan



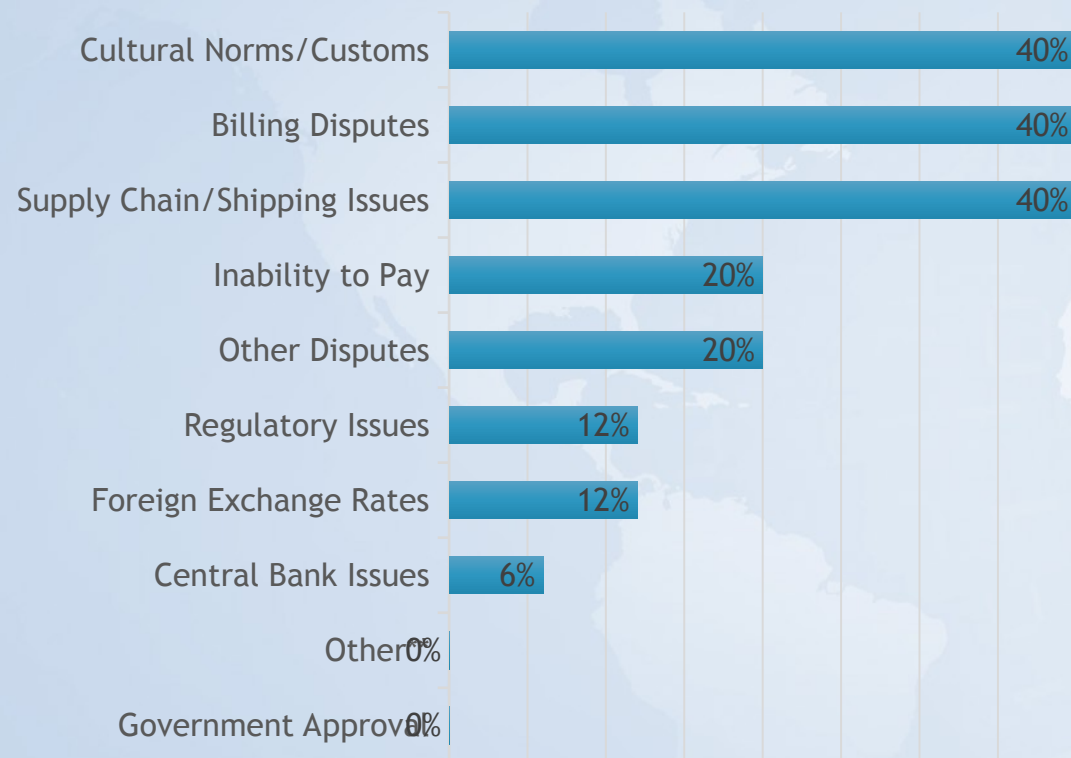
United States



*(i.e. customer only pays on a set day of the month)

The most common causes of payment delays

South Korea



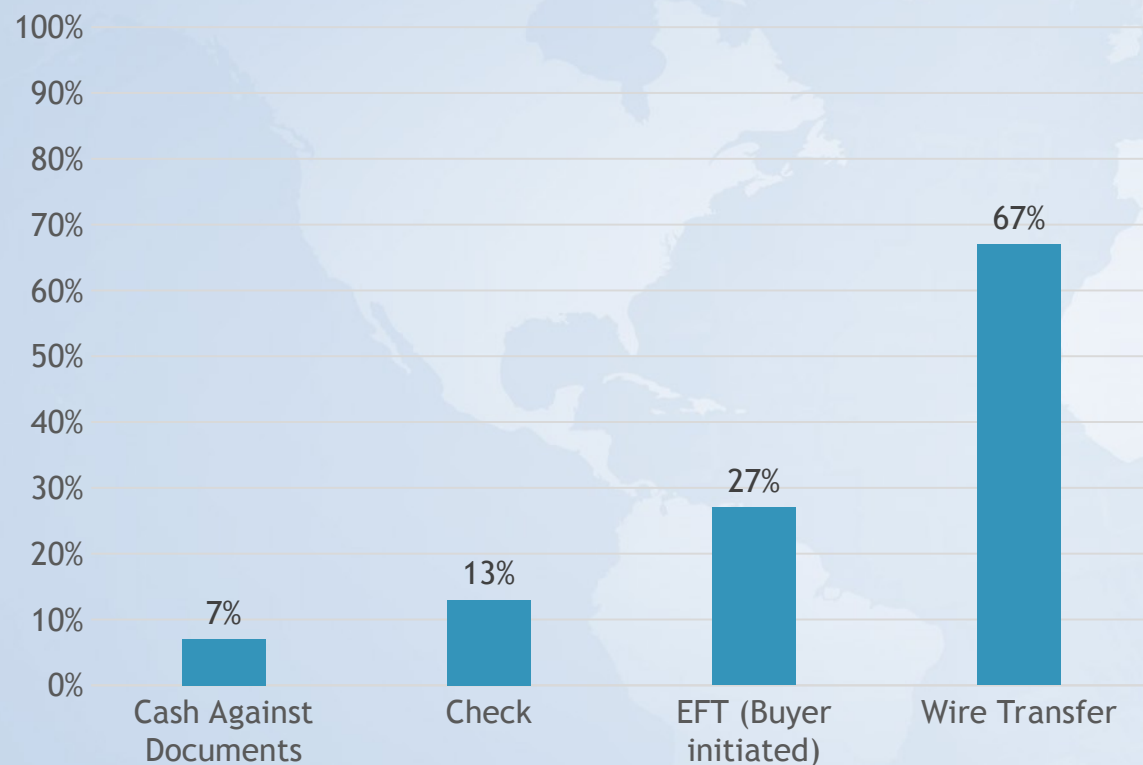
Colombia



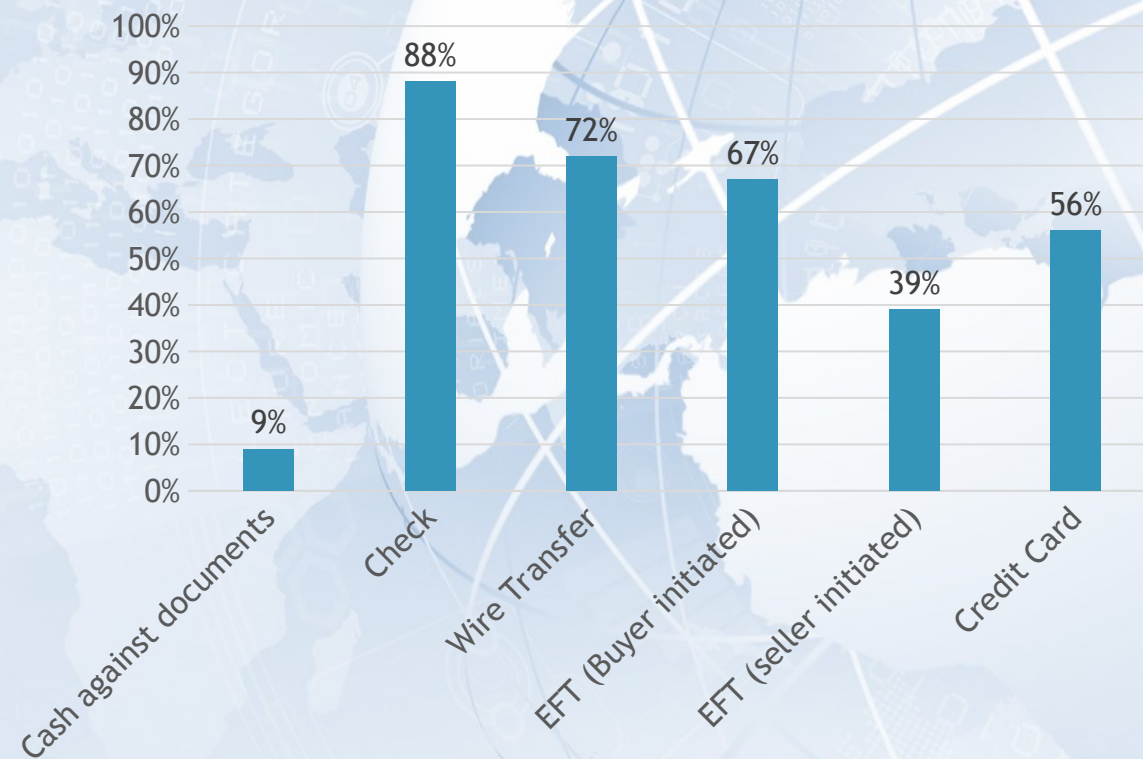
*(i.e. customer only pays on a set day of the month)

Methods used to secure payment

Japan

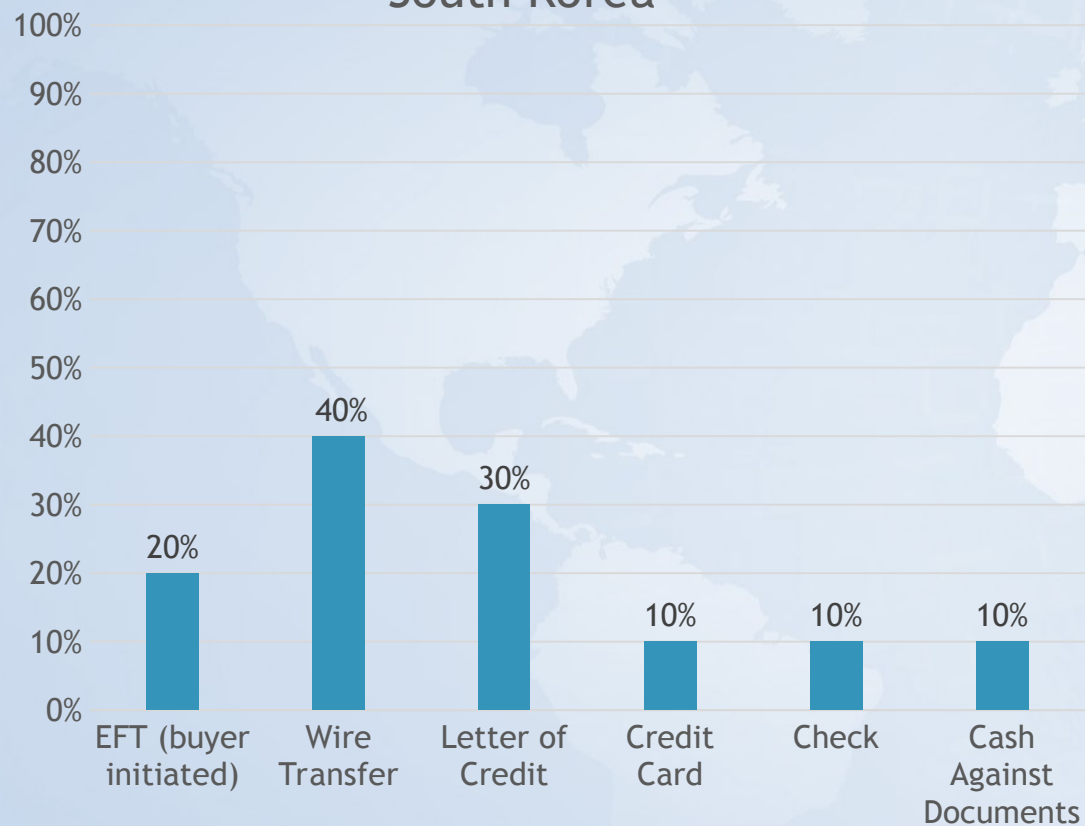


United States

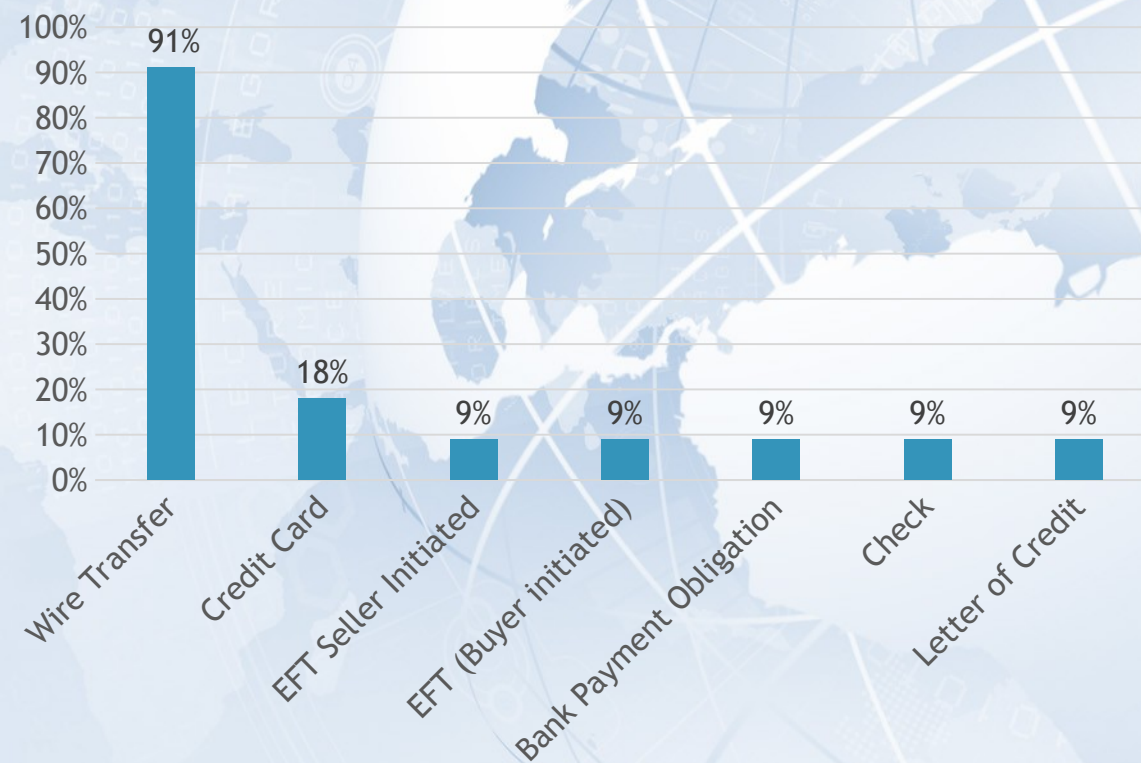


Methods used to secure payment

South Korea



Colombia



Insights from Credit Professionals

Japan

- Know your true Legal customer not, DBA/Trade Name and know the ultimate parent and family tree (5 C's of Credit)
- Best to have local contact

South Korea

- Push to obtain financials from all customers. Backstop with credit insurance.
- Understand in advance that there will be delays in paying

United States

- Customer communication is important
- Watch payment trends with other suppliers

Colombia

- Ensure you have local data on customers. Colombia is not required to share as much insight as other countries.

Insights from Credit Professionals

Non-country-specific Advice from the survey.

- Know your real customer, not the Trade/Banner name but the True Legal Entity (5 C's of Credit).
- Start early building a relationship with your customer, and include your salesperson - you'll make a team and teams work together.
- Follow up with the customer's Procurement Dept and Finance Dept as many times as necessary.
- Obtain updated credit information Look for owner and addresses verification, as changes are often not communicated by the customer. Know all you can about the customer. Pull a credit report for payment history and legal status and name verification.
- With continued global inflation, war in South Korea and high interest, you need to know your true legal customer to prevent fraud and keep your A/R secured.
- It is important to know customer's payment process to avoid misunderstandings or delays due to administrative issues.
- Obtain financial statements on your customers and backstop sales with credit insurance.
- Ensure payment language is on the wire payments received.